BUSINESS / AP

GDP, inflation & unemployment

Interpret three measures of overall economic activity.

AP Macroeconomics · introductory review

01 GDP measures production

GDP is the market value of final goods and services produced within an economy during a period. The expenditure identity is GDP = C + I + G + (X - M). Used goods and financial asset purchases are not current production; intermediate goods are not separately counted when already included in final output.

02 Nominal and real measures

Nominal GDP uses current prices; real GDP uses constant prices to separate output changes from price changes. Inflation is the percentage change in a price index: (new index - old index) / old index × 100. A slower positive inflation rate still means prices are rising.

03 Unemployment uses the labour force

Unemployment rate = unemployed / labour force × 100, with labour force = employed + unemployed. In the standard introductory model, unemployed people are available for work and actively seeking it. People outside the labour force are not included in the denominator.

Worked example

Read a small data set

If a price index rises from 120 to 126, inflation is (126 - 120)/120 × 100 = 5%. If 950 people are employed and 50 are unemployed, the labour force is 1,000 and the unemployment rate is 50/1,000 × 100 = 5%. These are different measures even though the values match.

Watch out: A higher nominal GDP alone does not prove that output increased. Prices might have risen.

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Try it. Then check it.

Work through these questions before looking at the answers.

1. C = 500, I = 100, G = 150, X = 80, M = 50. Calculate GDP in the stated units.

2. A price index rises from 200 to 210. Calculate inflation.

3. There are 720 employed people and 80 unemployed people. Another 200 are outside the labour force. Calculate unemployment.

Answer key

1. GDP = 500 + 100 + 150 + (80 - 50) = 780.

2. (210 - 200)/200 × 100 = 5%.

3. Labour force = 720 + 80 = 800. Rate = 80/800 × 100 = 10%. Do not include the other 200.

One-minute recap

Close the notes. Explain one key idea in your own words, then retry the question you found most difficult.

About this guide

Original Study Bridge topic review prepared with AI assistance. Suggested course fit, not complete or official course coverage. Compare with your teacher's materials. Examples and practice questions are newly written.

Official course context: AP Macroeconomics · introductory review

Questions or corrections: ivyystudyy@gmail.com